



NERC ID(s):	Registered Entity Name(s)
NCR01248	Georgia System Operations Corporation

Reliability Standards Audit Scope:	Compliance Operations (FERC Order 693) Audit Report
Compliance Monitoring Process:	Compliance Audit
Distribution:	Public Version. Confidential Information Has Been Removed, Including Privileged and Critical Energy Infrastructure Information.
Lead Region:	SERC Reliability Corporation (SERC)
Dates of Audit:	June 16, 2014 through July 3, 2014
Date of Report:	August 7, 2014
Possible Violations Identified:	None (zero)
Jurisdiction:	United States

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I. Executive Summary

SERC Reliability Corporation (SERC) conducted an Operations and Planning Compliance Audit of Georgia System Operations Corporation (GSOC), NERC ID NCR01248 from June 16, 2014 through July 3, 2014.

At the time of the Audit, GSOC was registered for the functions of Load-Serving Entity (LSE) and Transmission Operator (TOP).

The Reliability Coordinator (RC), Balancing Authority (BA), and Transmission Operator for GSOC is Southern Company Services, Inc. – Transmission.

The Audit team evaluated GSOC for compliance with 40 requirements, including those in the 2014 NERC Compliance Monitoring and Enforcement Program (CMEP), the SERC CMEP Implementation Plan, and those added by the SERC risk assessment process. The team assessed compliance with the NERC Reliability Standards (and Regional Reliability Standards if applicable) for the period of June 16, 2011 through July 3, 2014 GSOC submitted evidence for the team's evaluation of compliance with requirements. The team reviewed and evaluated all evidence provided to assess compliance with reliability standards applicable to GSOC at this time. Based on the evidence provided, no findings were noted for the standards and applicable requirements in scope for this engagement. There were no open mitigation plans to be reviewed by the team.

The SERC audit team lead certifies that the Audit team adhered to all applicable requirements of the NERC Rules of Procedure (ROP) and Compliance Monitoring and Enforcement Program (CMEP).¹

¹ This statement replaces the Regional Entity Self-Certification process.

II. Audit Process

The Compliance Audit process steps are detailed in the NERC Rules of Procedure, the NERC CMEP, and the SERC CMEP Implementation Plan. The Compliance Monitoring and Enforcement Program generally conforms to the United States Government Auditing Standards and other generally accepted audit practices.

Objectives

All registered entities are subject to compliance assessments with all reliability standards applicable to the functions for which the registered entity is registered² in the Region(s) performing the assessment. The Audit objectives are to:

- Review compliance with the requirements of reliability standards that are applicable to GSOC, based on the functions that GSOC is registered to perform;
- Validate compliance with applicable Reliability Standards from the NERC 2014 Implementation Plan list of actively monitored standards, and additional NERC Reliability Standards selected by SERC;
- Validate compliance with applicable Regional Reliability Standards from the SERC 2014 Implementation Plan list of actively monitored standards, if applicable;
- Validate evidence of self-reported violations and previous self-certifications;
- Observe and document GSOC's compliance program and culture;
- Review the status of open mitigation plans.

Scope

The scope of the Compliance Audit included the NERC Reliability Standards from the SERC 2014 CMEP Implementation Plan and those added by the SERC risk assessment process. The standards and requirements in-scope for this Audit are illustrated in Table 1 below:

² NERC Rules of Procedure, Appendix 4C, Section 3.1, Compliance Audits.

Table 1. Audit Scope	
Standards	Requirement(s)
COM-002-2	R1, R2
EOP-003-2	R8
EOP-004-2	R1
EOP-005-2	R1, R10
EOP-008-1	R1, R2, R4
FAC-014-2	R2
IRO-001-1.1	R8
IRO-005-3.1a	R5, R9
MOD-001-1a	R1, R6
MOD-004-1	R3, R10
MOD-008-1	R1, R2, R3, R4, R5
MOD-018-0	R1
PER-001-0.2	R1
PER-005-1	R2, R3
PRC-001-1	R1
TOP-001-1a	R2
TOP-002-2.1b	R4, R5, R6, R10, R11, R18
TOP-003-1	R3
TOP-004-2	R1, R2, R6
TOP-008-1	R1, R2

The team did not expand the scope of the Audit beyond what was stated in the notification package.

Confidentiality and Conflict of Interest

Confidentiality and conflict of interest of the Audit team are governed under the SERC Delegation Agreement with NERC, and Section 1500 of the NERC Rules of Procedure. GSOC was informed of SERC's obligations and responsibilities under the agreement and procedures. The work history for each team member was provided to GSOC which was given an opportunity to object to a team member's participation on the basis of a possible conflict of interest or the existence of other circumstances that could interfere with a team member's impartial performance of duties. GSOC had not submitted any objections by the stated 15-day objection due date and accepted the team member participants without objection. There were no denials or access limitations placed upon this team by GSOC.

Methodology

The Audit team reviewed the evidence submitted by GSOC and assessed compliance with the requirements of the applicable reliability standards. SERC provided GSOC with a Request for Information (RFI) prior to commencement of the Audit. GSOC provided Pre-Audit evidence at the time requested, or as agreed upon, by SERC. Additional evidence could be submitted until the agreed-upon deadline prior to the exit briefing. After that date, only data or information that was relevant to the content of the report or its finding could be submitted with the agreement of the audit team lead.

The Audit team reviewed documentation provided by GSOC and requested additional evidence and sought clarification from subject matter experts during the Audit. The evidence submitted in

the form of policies, procedures, emails, logs, studies, data sheets, etc. were validated, substantiated, and cross-checked for accuracy as appropriate. Where sampling is applicable to a requirement, the sample set was determined by a statistical methodology, along with professional judgment.

The findings were based on the facts and documentation reviewed, the team's knowledge of the bulk electric system (BES), the NERC Reliability Standards, and professional judgment. All findings were developed based upon the consensus of the team.

Company Profile

Georgia System Operations Corporation (GSOC) is a not-for-profit, independent system operations company owned by 38 distribution system electric membership cooperatives (EMCs) in Georgia. GSOC provides independent system operations by controlling and monitoring electric generation, transmission and distribution assets owned by Oglethorpe Power Corporation, Georgia Transmission Corporation, and Smarr EMC. GSOC enables its members' participation in the energy market in Georgia and the Southeast by providing a range of operations services that allow its members to transact and account for their business in the wholesale energy market. GSOC implements purchase and sales contracts, schedules and monitors individual hourly transactions, dispatch and monitor generation assets, and capture the necessary data for billing.

Audit Participants

Following is a list of all personnel from the SERC Audit team and GSOC who were directly involved during the meetings and interviews.

SERC Team

Role	Title	Entity
Audit Team Lead	Senior Compliance Auditor	SERC
Team Member	Compliance Auditor	SERC
Team Member	Associate Compliance Auditor	SERC

GSOC Participants

Title	Entity
President/CEO	GSOC
Director, NERC Compliance	GSOC
BES Compliance Manager	GSOC
BES Compliance Staff Engineer	GSOC
Manager, Transmission Operations	GSOC
System Operator II	GSOC

System Operator II	GSOC
Manager, Control Area Operations	GSOC
Supervisor, Operator Training	GSOC
Manager, CI Compliance	GSOC
Operations Compliance Administrator,	GSOC
Director, Operations Engineering	GSOC
Operations Engineer	GSOC
Manager, Operations Engineering - Generation	GSOC
System Operations Trainer	GSOC
Manager, Reliability Coordination Southeastern RC	Southern Company

III. Audit Findings

Based on the results of this Audit, no findings were noted for the standards and applicable requirements in scope for this engagement.

IV. Areas of Concern and Recommendations

There were no Areas of Concern or Recommendations noted by the Audit team during the engagement.

V. Compliance Culture

The SERC Audit team performed an assessment of GSOC's compliance culture in conjunction with the Audit process. The assessment was accomplished through a review of responses to the Internal Compliance Survey questionnaire and additional information that was gathered during interviews and observations. This included an assessment of factors that characterize vigorous and effective compliance programs including:

- Active engagement and leadership by senior management;
- Effective, in-practice preventive measures appropriate to the circumstances of the company;
- Prompt detection of problems, cessation of misconduct, and reporting of a violation;
- Remediation of the misconduct.